








Advanced Time Series Analysis and Forecasting

Chapter 16: Explosive roots and bubbles



Daniel Traian PELE

Bucharest University of Economic Studies
IDA Institute Digital Assets
Blockchain Research Center
AI4EFin Artificial Intelligence for Energy Finance
Romanian Academy, Institute for Economic Forecasting
MSCA Digital Finance

Acronyms used in this material (1/2)

- **ADF**: Augmented Dickey–Fuller (test)
- **AI**: Artificial Intelligence
- **AR**: AutoRegressive (model); in event studies: Abnormal Return
- **AUC**: Area Under the (ROC) Curve
- **BET**: Bucharest Exchange Trading (index)
- **BSADF**: Backward Supremum Augmented Dickey–Fuller (statistic)
- **BUX**: Budapesti Értéktőzsde index (the Budapest Stock Exchange index)
- **CLT**: Central Limit Theorem
- **CPI**: Consumer Price Index
- **CUSUM**: CUmulative SUM
- **EODHD**: EOD Historical Data (market-data provider)
- **FCLT**: Functional Central Limit Theorem
- **FRED**: Federal Reserve Economic Data
- **FW**: Family-Wise (error control)
- **FWER**: Family-Wise Error Rate

Acronyms used in this material (2/2)

- **GARCH**: Generalised AutoRegressive Conditional Heteroskedasticity
- **GSADF**: Generalised Supremum Augmented Dickey–Fuller (test)
- **HICP**: Harmonised Index of Consumer Prices
- **LLM**: Large Language Model
- **LPPLS**: Log-Periodic Power Law Singularity (model)
- **MC**: Monte Carlo
- **MFM**: Modelling Financial Markets
- **OLS**: Ordinary Least Squares
- **PSY**: Phillips, Shi and Yu (2015)
- **PWY**: Phillips, Wu and Yu (2011)
- **PX**: Prague Stock Exchange index (index Burzy cenných papírů Praha)
- **ROC**: Receiver Operating Characteristic (curve)
- **SADF**: Supremum Augmented Dickey–Fuller (test)
- **TSA**: Time Series Analysis
- **US**: United States
- **WIG20**: Warszawski Indeks Giełdowy 20 (the Warsaw Stock Exchange index of the 20 largest companies)

The question of the chapter and the route

- **Question**: when does a price series contain an explosive component, how precisely can we date it, and how much is an alarm worth once false alarms and base rates are counted?
  - three layers: economic theory of rational bubbles, asymptotic theory of explosive autoregressions, statistical evaluation of detectors
- **Route**
  - rational bubbles: present value, Blanchard–Watson, the Diba–Grossman critique, Evans bubbles
  - explosive autoregressions: Cauchy limits, mildly explosive roots; SADF, GSADF, BSADF and their size
  - date-stamping, real-time monitoring, evaluation of early warnings; fundamentals against prices (rents)
  - LPPLS as a competing detector; applications: dot-com, Shanghai 2015, Bitcoin, BET 2007, housing
- Prerequisites and continuation
  - TSA, Chapter 13 (slide Known from TSA and new here); Chapter 2: unit roots, structural breaks
  - MFM, Chapter 17 applies the tests to markets

Self-study guide

- This chapter is for **self-study**: there is no seminar; every section ends with a recap
  - redo each worked derivation on paper before reading the next slide
  - after each chart, write your own reading of it, then compare it with the interpretation slide
- Run the lecture notebook: it reproduces every chart and number with smaller Monte Carlo sizes
  - change one design choice (the minimum window, the lag order, the critical value, the crash threshold) and record how the conclusion changes
- The self-assessment at the end has answers; the quiz of this chapter on the course site is graded
- Prerequisites: Dickey–Fuller asymptotics (Hamilton, Chapter 17), the functional central limit theorem, bootstrap for dependent data (Chapter 0)

Learning outcomes

- Derive the general solution of the present-value model and state the restrictions of Diba and Grossman on rational bubbles
- Derive the Cauchy limit of the OLS estimator under an explosive root and explain why the mildly explosive limit is invariant to the error law
- Compute SADF, GSADF and BSADF with Monte Carlo and wild-bootstrap critical values, and control false alarms across dates
- Measure date-stamping delays and evaluate early-warning signals with hit rates, false-alarm rates, precision and ROC curves
- Separate explosive prices from explosive fundamentals, and compare PSY with LPPLS confidence indicators on real episodes

Reading, data and tools

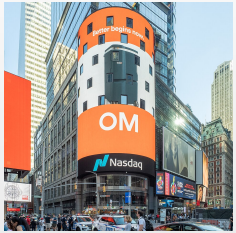
- Theory: Blanchard and Watson (1982); Diba and Grossman (1988a); Evans (1991); Phillips and Magdalinos (2007); Phillips, Shi and Yu (2015a); Phillips, Shi and Yu (2015b)
  - Inference and monitoring: Phillips and Shi (2020); Harvey et al. (2016); Homm and Breitung (2012); Astill et al. (2018); survey: Gürkaynak (2008)
  - LPPLS: Johansen, Ledoit and Sornette (2000); Filimonov and Sornette (2013); Filimonov, Demos and Sornette (2017); Shu and Zhu (2020); critique: Feigenbaum (2001); Geraskin and Fantazzini (2013)
- Python Quantlets of this chapter: Quantlets/Ch_16
  - every window regression written out in `numpy` (cumulated cross-products); the R package `exuber` Vasilopoulos, Pavlidis and Martínez-García (2022) implements the same statistics
- Lecture notebook: open in Google Colab

Data used in this chapter

Series	Source	Sample
S&P 500, Nasdaq 100, Shanghai Composite, BET, Bitcoin	EODHD daily closes (weekly: Friday close)	1990 – 2026
US house prices, rents, consumer prices	FRED: S&P CoreLogic Case–Shiller national index, CPI rent of primary residence, CPI (seasonally adjusted)	1987 – July 2026
Romanian house prices, rents, consumer prices	Eurostat: house price index; HICP actual rentals and all items	2009 – March 2026
All price series of the course data	EODHD, monthly closes (screen of the AI mini-case)	1990 – 2026

- Tests run on log prices or log ratios; weekly data for stock indices and Bitcoin, monthly or quarterly data for housing

Known from TSA and new here



Nasdaq MarketSite, Times Square, 2021

Photo: ajay_suresh (2021); CC BY 2.0; Wikimedia Commons

- Known (TSA, Chapter 13)
  - manias in history; the right-tailed ADF, SADF, GSADF and BSADF with Monte Carlo critical values
  - the LPPL equation, the two-step calibration, the confidence indicator
- New: the research layer
  - why rational bubbles must explode and why they are hard to see
  - the limit theory behind the tests, their size under changing volatility and across many dates
  - how early, how often and how wrongly the detectors raise alarms
- Case studies, on our data
  - Phillips, Wu and Yu (2011); Phillips, Shi and Yu (2015a); Phillips and Yu (2011)
  - Homm and Breitung (2012); Harvey et al. (2016); Sornette et al. (2015)

The present-value model and its bubble solutions (1/2)

- **No-arbitrage** with a constant required return $r > 0$: today's price is the discounted expected value of tomorrow's price plus dividend

$$P_t = (1+r)^{-1}\mathbb{E}_t[P_{t+1} + D_{t+1}]$$

  - P_t: price; D_t: dividend (or rent); $\mathbb{E}_t$: expectation given the information available at t

- **Forward substitution** k times: the price is the discounted dividends of the next k periods plus the discounted price at $t+k$

$$P_t = \sum_{i=1}^{k}(1+r)^{-i}\mathbb{E}_t D_{t+i} + (1+r)^{-k}\mathbb{E}_t P_{t+k}$$

- If the **transversality condition** $\lim_{k\to\infty}(1+r)^{-k}\mathbb{E}_t P_{t+k} = 0$ holds, the price equals the **fundamental value**

$$P_t = F_t := \sum_{i\geq 1}(1+r)^{-i}\mathbb{E}_t D_{t+i}$$

The present-value model and its bubble solutions (2/2)

- **General solution**: the fundamental plus a **bubble** B_t whose expected value grows at the rate r

$$P_t = F_t + B_t, \qquad \mathbb{E}_t B_{t+1} = (1+r)B_t, \qquad \mathbb{E}_t B_{t+k} = (1+r)^k B_t$$

  - B_t is a submartingale with an explosive mean: it satisfies the no-arbitrage equation but violates transversality
- **Econometric content**: B_t follows $(1-(1+r)L)B_t = z_t$, an AR(1) with coefficient $1+r>1$
  - L: the lag operator ($LB_t = B_{t-1}$); z_t: a martingale difference ($\mathbb{E}_{t-1} z_t = 0$); an **explosive autoregressive root**
- General equilibrium limits Tirole (1985); Santos and Woodford (1997)
  - with infinitely lived agents bubbles are ruled out in most economies
  - with overlapping generations they can exist if growth exceeds r

Worked example: the fundamental value with random-walk dividends

- Let dividends be a random walk with drift, $D_t = \mu + D_{t-1} + \varepsilon_t$: then $\mathbb{E}_t D_{t+i} = D_t + i\mu$
  - μ: the expected change per period (drift); ε_t: a zero-mean shock
- Summing the discounted expected dividends

$$F_t = D_t \sum_{i \geq 1} (1+r)^{-i} + \mu \sum_{i \geq 1} i(1+r)^{-i} = \frac{D_t}{r} + \frac{\mu(1+r)}{r^2}$$

  - using $\sum_{i \geq 1} x^i = x/(1-x)$ and $\sum_{i \geq 1} i x^i = x/(1-x)^2$ with $x = (1+r)^{-1}$
- Implications: F_t is I(1) like D_t; $P_t - D_t/r$ is stationary without a bubble: price and dividend are **cointegrated** with vector $(1, -1/r)$ Campbell and Shiller (1987)
  - with a bubble, $P_t - D_t/r - \mu(1+r)/r^2 = B_t$ inherits the explosive root: no difference $\Delta^d P_t$ is stationary Diba and Grossman (1988b)
- Check on paper: $r = 0.05$, $\mu = 0.04$, $D_t = 2$ give $F_t = 40 + 16.8 = 56.8$; the price-dividend ratio 28.4 is constant only if $\mu = 0$

Blanchard–Watson: a bubble that can burst



Olivier Blanchard, IMF, 2008

Photo: Eugene Salazar, IMF (2008); public domain; Wikimedia Commons

- Blanchard and Watson (1982): each period the bubble survives with probability π and bursts with probability $1-\pi$

$$B_{t+1} = \begin{cases} \dfrac{1+r}{\pi} B_t + \varepsilon_{t+1} & \text{with probability } \pi \\ \varepsilon_{t+1} & \text{with probability } 1-\pi \end{cases}$$

  - ε_{t+1}: a zero-mean shock; $\pi \in (0,1)$: the survival probability
- Check: $\mathbb{E}_t B_{t+1} = \pi \cdot \frac{1+r}{\pi} B_t = (1+r) B_t$: a valid rational bubble
- Survival time is geometric: expected duration $1/(1-\pi)$; $\pi = 0.98$ gives 50 periods
- While it survives it grows at $(1+r)/\pi - 1 > r$: the extra return pays for the crash risk
- After a burst it restarts from noise, which can be negative: the next slide shows why that is a problem

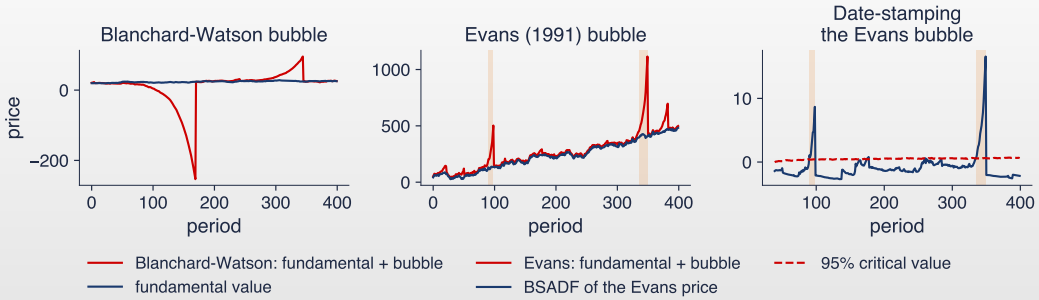
The Diba–Grossman critique

- Write $B_{t+1} = (1+r)B_t + z_{t+1}$ with $\mathbb{E}_t z_{t+1} = 0$ Diba and Grossman (1988a)
- **No negative bubbles**: if $B_t < 0$, then $\mathbb{E}_t B_{t+k} = (1+r)^k B_t \to -\infty$, so the expected price eventually becomes negative; free disposal ($P \geq 0$) rules this out
- **No birth**: if $B_t = 0$, then $\mathbb{E}_t B_{t+1} = 0$ and $B_{t+1} \geq 0$, hence $B_{t+1} = 0$ almost surely; a bubble that exists today existed on the first trading day
  - the Blanchard–Watson restart from noise violates both points; a bubble can still burst, but not restart
- **Test** Diba and Grossman (1988b): no bubble $\Rightarrow$ P_t and D_t cointegrated and ΔP_t stationary; on annual US data they found no explosive component
  - unobserved fundamentals or a time-varying r make the test a joint test of the bubble and of the pricing model Gürkaynak (2008)

Evans: periodically collapsing bubbles

- Parameters $0 < \delta < (1+r)\alpha$, $u_{t+1} > 0$ i.i.d. with $\mathbb{E}u = 1$, $\theta_{t+1} \sim$ Bernoulli(π) Evans (1991)
  - $B_{t+1} = (1+r)B_t u_{t+1}$ if $B_t \leq \alpha$ (slow growth phase)
  - $B_{t+1} = \left[\delta + \pi^{-1}(1+r)\theta_{t+1}\left(B_t - \delta/(1+r)\right)\right]u_{t+1}$ if $B_t > \alpha$ (fast phase that collapses to δ)
- Exercise: show $\mathbb{E}_t B_{t+1} = (1+r)B_t$ in both regimes (use $\mathbb{E}\theta = \pi$); the bubble is positive and never dies, consistent with Diba–Grossman
- Evans' point: on the whole sample, frequent collapses make P_t look like an I(1) or even stationary process; unit-root and cointegration tests have almost no power
  - the full-sample OLS slope pairs the largest falls with the highest lagged levels: collapses pull $\hat{\delta}$ down
- The remedy of Phillips, Wu and Yu (2011) and Phillips, Shi and Yu (2015a): estimate on sub-samples (windows) and take the supremum, so that some windows contain the expansion but not the collapse

Simulated rational bubbles and their detection



- Left: Blanchard–Watson, $r = 0.02$, $\pi = 0.98$; middle: Evans bubble times 20 on the fundamental of the worked example ($r = 0.05$, $\alpha = 1$, $\delta = 0.5$, $\pi = 0.85$); right: BSADF of the Evans price against its pointwise 95% critical value (2 000 Monte Carlo paths)
- Whole-sample ADF -2.81 (95% critical value -0.07); SADF 6.80 (1.45); GSADF 16.58 (2.18); 2 dated episodes

ATS_ch16_rational_bubbles

Interpreting the simulated bubbles

- The Blanchard–Watson path restarts below zero after a burst and then explodes downwards: exactly the negative bubble that Diba and Grossman exclude
- The Evans price looks like its fundamental most of the time; the whole-sample ADF (-2.81) is even below its 95% critical value: Evans' pitfall in one number
- The window statistics see the large expansions: GSADF 16.58 against 2.18; the BSADF sequence crosses its critical value only in the long runs
- The minimum-duration rule (6 consecutive exceedances) keeps 2 episodes and drops the short bursts: power is traded for fewer false alarms

Recap: rational bubbles

- Price = fundamental + bubble, with $\mathbb{E}_t B_{t+1} = (1 + r)B_t$: a bubble is an explosive autoregressive component
- Diba–Grossman: bubbles cannot be negative and cannot start later; they can only grow or burst
- Evans: periodic collapses hide the bubble from whole-sample tests; recursive window tests restore the power
- Every bubble test is a joint test with the model of the fundamental (a constant r, observed dividends or rents)

Three regimes of the AR(1) estimator (1/2)

Root	**Rate and limit of $\hat{\rho} - \rho$**	**Invariance**
$\lvert\rho\rvert < 1$	$\sqrt{n}(\hat{\rho} - \rho) \Rightarrow N(0, 1 - \rho^2)$	yes (CLT)
$\rho = 1$	$n(\hat{\rho} - 1) \Rightarrow \int_0^1 W\, dW / \int_0^1 W^2$	yes (FCLT)
$\rho = 1 + c/k_n$, $k_n \to \infty$, $k_n = o(n)$	$\frac{k_n \rho_n^n}{2c}(\hat{\rho} - \rho_n) \Rightarrow \mathcal{C}$	yes Phillips and Magdalinos (2007)
$\lvert\rho\rvert > 1$ fixed	$\frac{\rho^n}{\rho^2 - 1}(\hat{\rho} - \rho) \Rightarrow \mathcal{C}$	only Gaussian errors White (1958); Anderson (1959)

- Model: $y_t = \rho y_{t-1} + u_t$, $y_0 = 0$, u_t i.i.d. $(0, \sigma^2)$; $\hat{\rho}$: OLS without intercept
  - n: sample size; W: a standard Brownian motion; $\mathcal{C}$: the standard Cauchy law; $\Rightarrow$: convergence in distribution
  - CLT/FCLT: (functional) central limit theorem

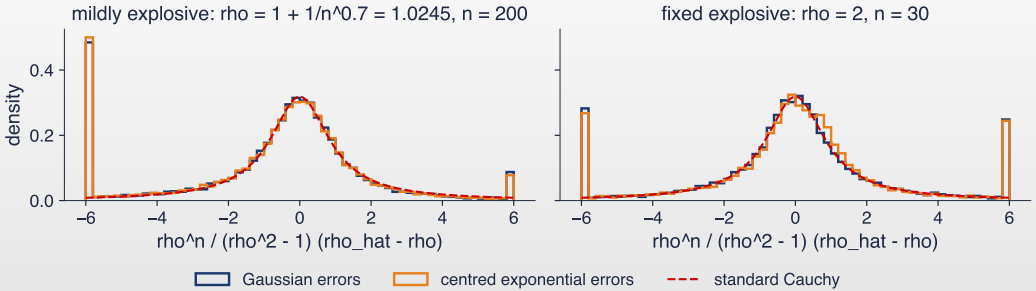
Three regimes of the AR(1) estimator (2/2)

- Mildly explosive root: $\rho_n = 1 + c/k_n$
  - $c > 0$, and $k_n \to \infty$ more slowly than n: $k_n = o(n)$, i.e. $k_n/n \to 0$
  - the Cauchy limit is derived in the Appendix
- The rate grows from $\sqrt{n}$ to n to the exponential ρ^n
  - the further from unity, the faster we learn ρ
  - unit roots: Chapter 2 and Hamilton (1994), Chapter 17
- Mildly explosive roots are the realistic case for bubbles
  - faster than any local-to-unity root $1 + c/n$
  - slower than any fixed explosive root
  - their limit theory is invariant to the error law, unlike the fixed explosive case

Worked derivation: where the Cauchy law comes from

- $\hat{\rho} - \rho = \sum_t y_{t-1} u_t / \sum_t y_{t-1}^2$ and $y_t = \sum_{j \le t} \rho^{t-j} u_j$
- Define $Y_n = \sum_{j=1}^{n} \rho^{-j} u_j$ (dominated by the **first** shocks) and $X_n = \sum_{j=1}^{n} \rho^{-(n-j)-1} u_j$ (dominated by the **last** shocks)
  - then $\rho^{-n} y_n \approx Y_n$, $\rho^{-2n} \sum_t y_{t-1}^2 \approx Y_n^2/(\rho^2 - 1)$ and $\rho^{-n} \sum_t y_{t-1} u_t \approx X_n Y_n$
- Hence $\dfrac{\rho^n}{\rho^2 - 1}(\hat{\rho} - \rho) \approx \dfrac{X_n}{Y_n}$
  - X_n and Y_n use disjoint blocks of shocks asymptotically: independent, with equal variances $\sigma^2/(\rho^2 - 1)$
  - **fixed** ρ: each sum is dominated by a few shocks; it is Gaussian only if the u_j are Gaussian, so the ratio is Cauchy only then Anderson (1959)
  - **mildly explosive** ρ_n: about $k_n \to \infty$ shocks enter each sum with comparable weights, a CLT applies, and $X_n/Y_n \Rightarrow \mathcal{C}$ for any i.i.d. errors with finite variance Phillips and Magdalinos (2007)
- Pivotal inference: the 95% interval $\hat{\rho} \pm (\hat{\rho}^2 - 1)\hat{\rho}^{-n} \tan(0.475\pi)$, with $\tan(0.475\pi) \approx 12.71$, replaces ρ by $\hat{\rho}$ in the norming factor

Cauchy limits in finite samples



- 20 000 samples; normalised error $\rho^n(\hat{\rho} - \rho)/(\rho^2 - 1)$ with Gaussian and centred exponential errors (skewed), against the Cauchy density
- Kolmogorov–Smirnov distance to Cauchy: mild, $n = 200$: 0.060 and 0.062; $n = 2000$ ($\rho = 1.0049$): 0.011 ($p = 0.620$) and 0.007 ($p = 0.945$); fixed $\rho = 2$: 0.007 ($p = 0.263$) and 0.025 ($p < 0.001$)

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Interpreting the Cauchy limits

- Fixed root: with Gaussian errors the Cauchy law fits ($p = 0.263$); with skewed errors it is rejected ($p < 0.001$): no invariance principle, as Anderson showed
- Mildly explosive root: at $n = 2000$ both error laws give the Cauchy law; at $n = 200$ ($k_n = 40.8$) the approximation is still rough for both: the CLT inside X_n and Y_n needs many effective shocks
- Coverage of the 95% Cauchy interval: 97.0% and 97.2% ($n = 200$), 95.0% and 94.7% ($n = 2000$): conservative in small samples, accurate in large ones
- For bubble tests this is good news: the explosive alternative is learned at an exponential rate, so the window statistics diverge fast once a window sits inside a bubble

From limit theory to bubble tests

- Under a mildly explosive alternative the ADF t-statistic diverges to $+\infty$: right-tailed tests are **consistent** Phillips, Shi and Yu (2015b)
- Levels against logs: a rational bubble is explosive in the **level**; in logs a pure bubble path $\ln B_0 + t \ln(1+r)$ is a linear trend
  - $\ln(F_t + B_t)$ **accelerates** while the bubble share rises: log-price tests target accelerating log prices, which is what PWY and PSY test in practice
- Specification matters: the intercept, a weak drift $dT^{-\eta}$ ($\eta > 1/2$) in the null, and the lag order change the null limit and the size Phillips, Shi and Yu (2014)
- Collapses: a sudden fall is a mildly **integrated** or stationary phase after the explosive one; Phillips and Shi (2018) date the implosion with a reverse regression

Recap: explosive autoregressions

- Explosive roots are learned at rate ρ^n; the limit is Cauchy, a ratio of two independent normals built from the first and the last shocks
- Fixed explosive roots have no invariance principle; mildly explosive roots do, which makes them the working model for bubbles
- The Cauchy interval for ρ is pivotal but needs large samples; right-tailed tests are consistent against mildly explosive alternatives

The recursive statistics (1/2)

- **Window regression** on the log price y_t, over the sample fractions $[r_1, r_2]$

$$\Delta y_t = a + \delta y_{t-1} + \sum_{j=1}^{k} \phi_j \Delta y_{t-j} + e_t, \qquad t = \lfloor r_1 T \rfloor, \ldots, \lfloor r_2 T \rfloor$$

  - $\Delta y_t = y_t - y_{t-1}$; a: intercept; δ: the coefficient tested; ϕ_j: coefficients of k lagged differences; e_t: error; T: sample size; $\lfloor \cdot \rfloor$: integer part
  - $\mathrm{ADF}_{r_1}^{r_2}$: the t-statistic of δ on this window
- H_0: $\delta = 0$ (unit root) against H_1: $\delta > 0$ (explosive): a **right-tailed** test
  - minimum window fraction $r_0 = 0.01 + 1.8/\sqrt{T}$
- **Suprema** over windows Phillips, Wu and Yu (2011), Phillips, Shi and Yu (2015a)

$$\mathrm{SADF} = \sup_{r_2 \in [r_0, 1]} \mathrm{ADF}_0^{r_2}, \quad \mathrm{BSADF}_{r_2} = \sup_{r_1 \in [0, r_2 - r_0]} \mathrm{ADF}_{r_1}^{r_2}, \quad \mathrm{GSADF} = \sup_{r_2} \mathrm{BSADF}_{r_2}$$

  - SADF: windows starting at the first observation; BSADF: all windows ending at r_2 (used to date); GSADF: all windows

The recursive statistics (2/2)

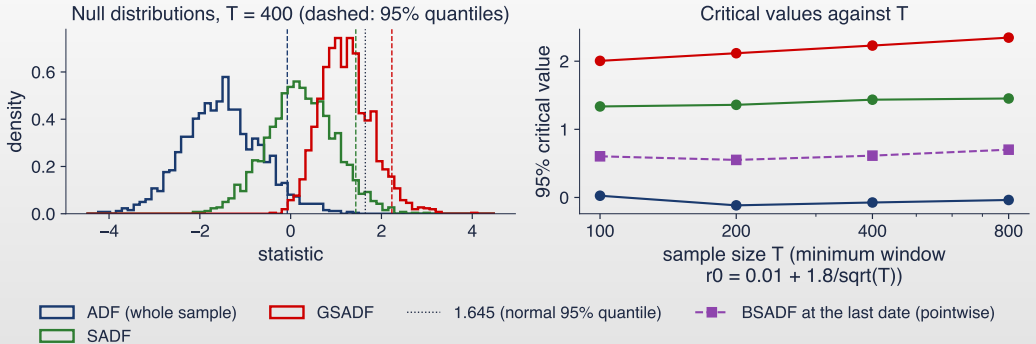
- Null limit (PSY, Theorem 1), with $r_w = r_2 - r_1$ and integrals over $[r_1, r_2]$:

$$\mathrm{ADF}_{r_1}^{r_2} \Rightarrow \frac{\frac{1}{2} r_w \left[W(r_2)^2 - W(r_1)^2 - r_w\right] - \int W\, dr \, \left[W(r_2) - W(r_1)\right]}{r_w^{1/2} \left\{ r_w \int W^2 dr - \left(\int W\, dr\right)^2 \right\}^{1/2}}$$

  - W: a standard Brownian motion; $\Rightarrow$: convergence in distribution as $T \to \infty$
  - pivotal: free of σ and of the drift, so critical values depend only on r_0, the deterministic terms and T in finite samples

- Computation: for $T = 400$ there are 65 341 window regressions; cumulated cross-products give all of them in $O(T^2)$ operations

Null distributions and critical values



- Null model $y_t = T^{-1} + y_{t-1} + e_t$, $e_t \sim N(0,1)$, no lags; 95% critical values at $T = 100, 200, 400, 800$: SADF 1.34, 1.36, 1.43, 1.45; GSADF 2.01, 2.12, 2.23, 2.35

ATS_ch16_recursive_tests

Interpreting the null distributions

- The whole-sample ADF has a negative 95% quantile (-0.07 at $T = 400$): using 1.645 would almost never reject, the right tail of the Dickey–Fuller law is short
- Each supremum shifts the distribution to the right: SADF searches over end points, GSADF over start and end points; the GSADF bar is the price of the search
- The GSADF critical value rises with T (2.01 to 2.35) although r_0 falls: more windows, a larger maximum; tabulate critical values for your own T, r_0 and lag order
- The pointwise 95% quantile of BSADF at the last date (0.61 at $T = 400$) is far below the GSADF one: a single date is tested at 5%, the whole path is not

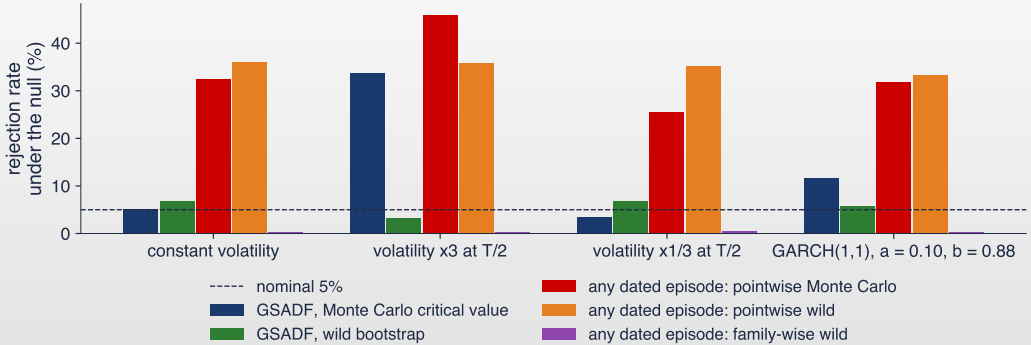
Changing volatility and the wild bootstrap

- The pivotal limit assumes homoskedastic shocks; with a volatility shift the limit involves the variance profile, and Monte Carlo critical values give the wrong size Harvey et al. (2016)
  - a late rise in volatility looks like acceleration; a fall in volatility makes the test conservative
- **Wild bootstrap** Phillips and Shi (2020): fit the null $\Delta y_t = \mu + \sum_j \phi_j \Delta y_{t-j} + e_t$, draw Rademacher signs $w_t = \pm 1$, build $\Delta y_t^* = \sum_j \hat{\phi}_j \Delta y_{t-j}^* + w_t \hat{e}_t$, cumulate, recompute the statistics
  - the bootstrap series has a unit root by construction and the **same volatility pattern** $|\hat{e}_t|$ as the data
  - critical values: pointwise quantiles of BSADF, the quantile of the maximum (GSADF), or the quantile of the maximum over a moving window
- Alternatives for non-stationary volatility: weighted and sign-based statistics Harvey, Leybourne and Zu (2020); end-of-sample tests Astill et al. (2017)

Date-stamping as a multiple-testing problem

- Date-stamping compares BSADF_{r_2} with a **pointwise** critical value at every date: each date has a 5% false-alarm chance, but a sample has hundreds of dates
  - BSADF is highly autocorrelated in r_2, so false alarms come in runs: the minimum-duration rule removes the shortest runs only
- **Family-wise error rate** (FWER): the probability of at least one false alarm over a set of dates
  - over the whole sample: compare BSADF with the 95% quantile of its maximum, i.e. the GSADF critical value
  - over a moving window of τ_b dates Phillips and Shi (2020): the 95% bootstrap quantile of $\max_{s\in(t-\tau_b,t]} \mathrm{BSADF}_s$; here $\tau_b = 52$ weeks
- Asymptotically, consistent dating needs critical values that diverge slowly, so that the false-alarm probability vanishes Phillips, Shi and Yu (2015b); in practice a fixed 5% at every date is used, and its cost must be measured

Size under changing volatility and across dates



- 400 null paths of $T = 200$ per design, each with its own wild bootstrap (199 draws); a dated episode needs 6 consecutive exceedances; nominal level 5%

ATS_ch16_size_wild_bootstrap

Interpreting the size study

- GSADF with Monte Carlo critical values: 5.2% with constant volatility, 33.8% after a late tripling, 11.8% under GARCH; the wild bootstrap gives 6.8%, 3.2% and 5.8%
- Pointwise dating finds at least one episode in 32.5% (Monte Carlo) and 36.0% (wild) of paths **without any bubble**, even with constant volatility
- With the family-wise threshold over the whole sample, false episodes fall to 0.2%–0.5%: below 5%, because an episode also needs 6 consecutive exceedances; the cost is power and later dates
- Lesson: report which error rate a dated episode controls; a 5% pointwise test on every week is not a 5% test of the sample

Recap: recursive tests

- SADF, GSADF and BSADF are suprema of window ADF statistics with a pivotal null limit; critical values must match T, r_0, the deterministic terms and the lags
- Changing volatility distorts the size; the wild bootstrap keeps the volatility pattern and restores it
- Pointwise dating has a high false-episode rate over a sample; family-wise thresholds control it at the cost of power

Date-stamping rules and their accuracy

- **Origination and termination** Phillips, Shi and Yu (2015a): the first date where BSADF exceeds its critical value, and the first later date where it falls back below

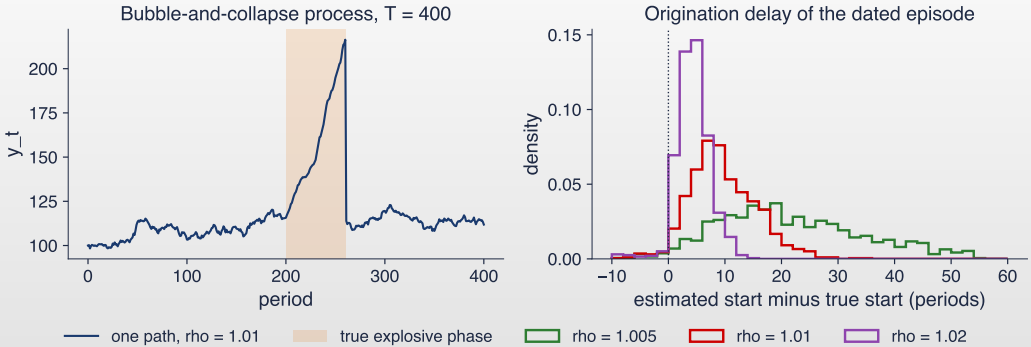
$$\hat{r}_e = \inf\{r_2 \geq r_0 : \mathrm{BSADF}_{r_2} > cv_{r_2}\}, \qquad \hat{r}_f = \inf\{r_2 \geq \hat{r}_e + \delta \ln(T)/T : \mathrm{BSADF}_{r_2} < cv_{r_2}\}$$

  - cv_{r_2}: the pointwise 95% critical value at r_2; $\delta \ln(T)/T$: a minimum duration (with δ a tuning constant)
  - here: an episode is a run of at least $\lceil \ln T \rceil$ consecutive exceedances, dated from the first to the last one (as in `exuber` Vasilopoulos, Pavlidis and Martínez-García (2022))
- In real time an episode is **confirmed** only after the minimum duration: the alarm date is the start plus $\lceil \ln T \rceil - 1$
- Consistency of $(\hat{r}_e, \hat{r}_f)$ holds for mildly explosive bubbles of fixed fractional duration Phillips, Shi and Yu (2015b)
  - the start is dated late, because a window must first accumulate explosive observations
  - improved start and end estimators that use the whole bubble period: Harvey, Leybourne and Sollis (2017)

Date-stamping: design of the experiment

- Simulated paths: random walk from $y_0 = 100$, then an explosive phase, a collapse, and a random walk again
  - explosive phase $y_t = \rho y_{t-1} + e_t$, $\rho > 1$, on periods 200–260; e_t: Normal noise
  - collapse to the pre-bubble level at the end of the explosive phase
  - $T = 400$, 1 000 paths for each value of ρ
- Questions: how often is the bubble found, how late is its start dated, how often is a false episode dated before it?

How late is the start dated?



- Delay of the first dated exceedance after the true start (periods); pointwise 95% Monte Carlo critical values; growth over the bubble ρ^{60}: 1.35, 1.82 and 3.28

ATS_ch16_date_stamping

Interpreting the date-stamping experiment

- Detection rates 94.9%, 100.0% and 100.0% for $\rho = 1.005, 1.01, 1.02$: a bubble of 60 periods is almost always found
- Median start delays 19, 8 and 4 periods (interquartile ranges 11–29, 5–13, 2–6); confirmation adds $6 - 1$ periods: medians 24, 13, 9
- For the slowest bubble the alarm comes after about a third of its life: a detector of **ongoing** exuberance, not of its birth
- In 26%–31% of paths a false episode is dated **before** the bubble starts: the multiplicity of the previous section, now inside a true-bubble design

Real-time monitoring (1/2)

- Monitoring: a training sample of n observations without a bubble, then a decision at each new date $t > n$; the error rate is over the **whole** monitoring horizon Chu, Stinchcombe and White (1996)
- **CUSUM** of returns: cumulated deviations of the new returns from the training mean, in units of the training volatility

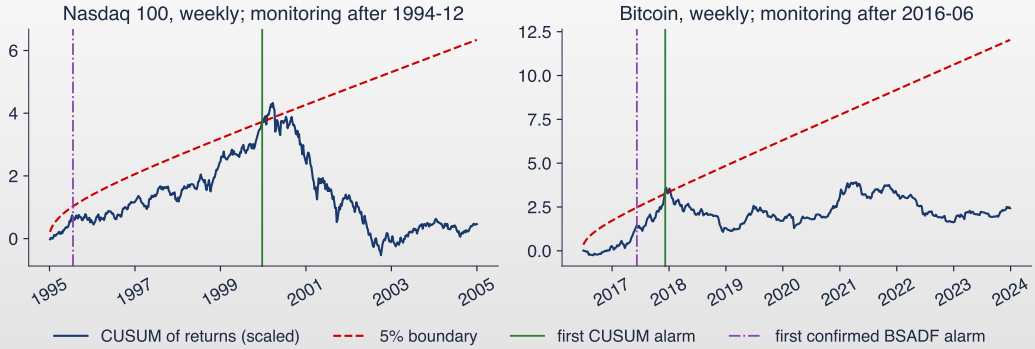
$$S_t = \sum_{j=n+1}^{t} \frac{r_j - \bar{r}_n}{\hat{\sigma}_n \sqrt{n}}, \qquad \text{alarm when } S_t > b_t = \sqrt{\tfrac{t-n}{n} \cdot \tfrac{t}{n} \left[a^2 + \ln \tfrac{t}{t-n} \right]}$$

  - r_j: return of period j; $\bar{r}_n$, $\hat{\sigma}_n$: mean and standard deviation of the training returns; b_t: the boundary, which widens with t; a: a constant that sets the error rate
- Error rate over the whole horizon (proof in the Appendix)
  - $\Pr\{S_t > b_t \text{ for some } t\} \to 1 - \Phi(a) + a\varphi(a)$; Φ, φ: standard Normal distribution and density functions
  - 5% gives $a = 2.50$, $a^2 = 6.25$

Real-time monitoring (2/2)

- Simulated size, $n = 100$, horizon $5n$, 2 000 paths
  - 3.5% with i.i.d. returns, 6.0% with GARCH returns
- Homm and Breitung (2012) compare bubble tests and monitoring schemes and recommend monitoring of this kind for real time
  - Astill et al. (2018) give monitoring statistics with controlled size for explosive bubbles
- BSADF in real time is also a monitor: BSADF_t uses only data up to t, but its pointwise critical values do not control the error over the horizon

Monitoring the Nasdaq 100 and Bitcoin



- Weekly log returns; training: 1990–1994 (Nasdaq 100, $n = 260$) and September 2014 – June 2016 (Bitcoin, $n = 92$); BSADF with pointwise Monte Carlo critical values

ATS_ch16_monitoring

Interpreting the monitoring charts

- Nasdaq 100: the CUSUM alarm comes on 24 December 1999, three months before the peak of 24 March 2000; the first confirmed BSADF alarm after training comes on 21 July 1995, more than four years earlier
- Bitcoin: CUSUM on 8 December 2017, at the top of the 2017 run-up; BSADF on 9 June 2017
  - the boundary widens with $\sqrt{t \ln t}$, so after 2018 the 2021 rally cannot reach it
- CUSUM detects a change in the mean return (persistent acceleration), not explosiveness as such; it is slow, but its size is controlled over the whole horizon
- BSADF reacts early and often: an early alarm that is followed by years of further gains is costly to anyone who acts on it

Evaluating early warnings

- Define the **event** before looking at alarms: here a fall of at least 20% within 182 days after the date; define the **alarm** rule and the evaluation dates (every fifth trading day)
- Hit rate $H = \Pr(\text{alarm} \mid \text{event})$, false-alarm rate $F = \Pr(\text{alarm} \mid \text{no event})$, base rate $\pi_0 = \Pr(\text{event})$
  - **precision** by Bayes: $\Pr(\text{event} \mid \text{alarm}) = H\pi_0 / [H\pi_0 + F(1-\pi_0)]$; with $\pi_0 = 5\%$, $H = 80\%$, $F = 20\%$ it is only 17%
  - the noise-to-signal ratio F/H of the early-warning literature Kaminsky, Lizondo and Reinhart (1998)
- **ROC curve**: (F, H) for every threshold of a continuous score; **AUC** $= \Pr(\text{score of an event date} > \text{score of a non-event date})$; 0.5 means no skill
- Overlapping horizons make evaluation dates strongly dependent: intervals for the AUC need a moving-block bootstrap (Chapter 0), and a few crashes carry the whole sample

Recap: date-stamping and early warning

- BSADF dates the start late (after a run of explosive observations) and confirms it later still; slow bubbles are found after a large part of their life
- Monitoring with a boundary controls the error over the whole horizon; pointwise BSADF does not
- Evaluate alarms with hit rate, false-alarm rate, precision at the base rate and ROC/AUC, with block-bootstrap intervals

Testing the ratio, the price and the fundamental

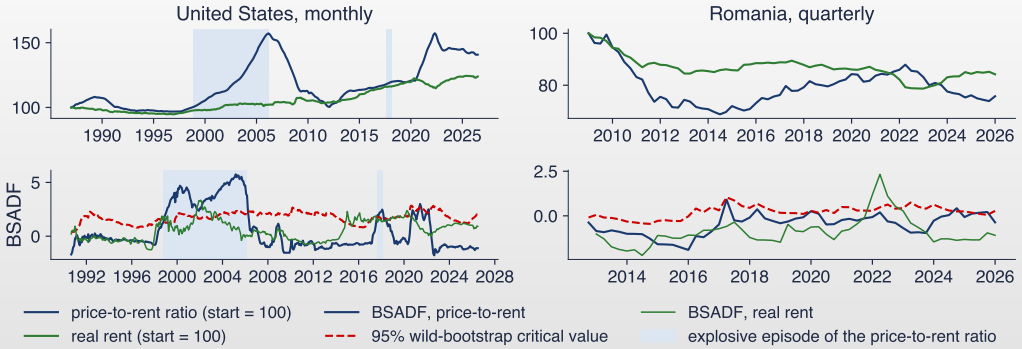


A foreclosed home in the United States, 2008

Photo: Brendel (2008); CC BY-SA 3.0; Wikimedia Commons

- Under the present-value model the price-to-rent (or price-dividend) ratio is stationary; an explosive **ratio** with a non-explosive **fundamental** points to a bubble
- If rents themselves explode, an explosive price is not evidence of a bubble: test both (the logic of Diba and Grossman (1988b) applied with PSY)
- Landmarks: Phillips and Yu (2011) date the US price-to-rent exuberance before the subprime crisis; Pavlidis et al. (2016) apply GSADF to the international housing panel of the Dallas Fed
- Monthly house prices are smoothed (repeat-sales indices, appraisals): their changes are autocorrelated, so the lag order k matters; here k by BIC, up to 6 months

US and Romanian housing: ratio and fundamental



⊡ Log price-to-rent and log real rent; BSADF with k lags (US ratio $k = 1$, rent $k = 1$) and pointwise 95% wild-bootstrap critical values (999 draws); shaded: dated episodes of the ratio

ATS_ch16_housing

Interpreting the housing tests

- US price-to-rent: GSADF 5.75 against the wild-bootstrap value 4.47; the main episode runs from November 1998 to March 2006, the boom before the subprime crisis found by Phillips and Yu (2011)
- US real rent: GSADF 3.35 against 3.25, with episodes February 1998–March 1999; June 2001–September 2004; September 2014–May 2021; September 2023–April 2026: the fundamental also accelerated, so the 2014–2022 price rise is partly a rent story
- US real house price alone: episodes February 2002–March 2006; December 2020–May 2022; the 2020–2022 surge is explosive in the price but not in the ratio, unlike 1998–2006
- Romania (quarterly, $T = 68$): GSADF of the ratio 0.91 against 1.38, of the real price 0.88 against 2.11: no explosive episode since 2009; the HICP rent index jumps by 33% in April 2026, so the sample ends in March 2026

Recap: fundamentals against prices

- Test the ratio and the fundamental separately: an explosive ratio with a calm fundamental is the bubble signature
- Smoothed housing indices need lag augmentation and a bootstrap under the AR null; without lags the tests reject almost everywhere
- Short samples (Romania since 2009) have little power: no rejection is not evidence of no bubble

The LPPLS model



Didier Sornette, 2012

Photo: Didier Sornette (2012); CC BY-SA 3.0 de; Wikimedia Commons

- Johansen, Ledoit and Sornette (2000): the log price grows faster than exponentially towards a critical time t_c, with oscillations that speed up

$$\ln p(t) = A + B(t_c - t)^m + C_1(t_c - t)^m \cos(\omega \ln(t_c - t)) + C_2(t_c - t)^m \sin(\omega \ln(t_c - t))$$

  - A: log price at t_c; $B < 0$ and $0 < m < 1$: super-exponential growth; C_1, C_2: amplitudes of the oscillations; ω: their log-frequency
- Two steps Filimonov and Sornette (2013): for given (t_c, m, ω) the four linear parameters are OLS; minimise the concentrated sum of squares over three nonlinear parameters
- Qualified fits: the filter of Shu and Zhu (2020) (bounds on m, ω, t_c, number of oscillations, damping, relative error, Lomb test, stationary residuals)
- **Confidence indicator**: the share of qualified fits over many windows ending at the same date (here 29 windows of 50–750 days)

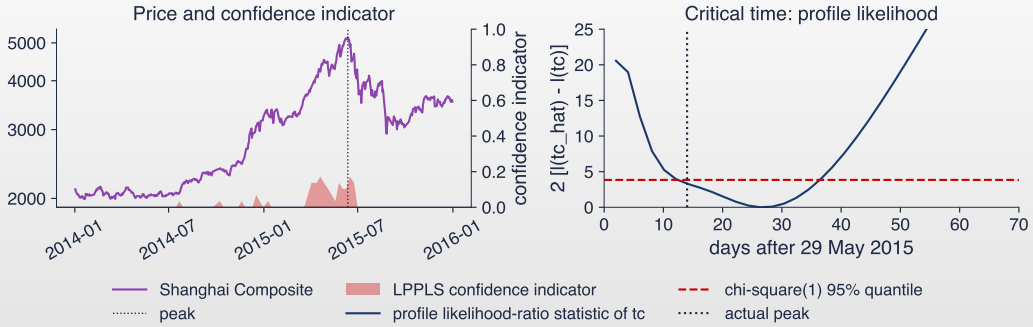
Inference on the critical time

- The point estimate $\hat{t}_c$ moves with the window and the data; an **interval** is needed
- **Profile likelihood**: for each t_c, the other parameters are set to their best values; with Gaussian errors

$$\ell(t_c) = -\frac{n}{2} \ln \left[\mathrm{SSR}(t_c)/n \right], \qquad 95\% \text{ interval} : \{ t_c : 2[\ell(\hat{t}_c) - \ell(t_c)] \leq \chi^2_{1;0.95} = 3.84 \}$$

  - n: number of days in the window; $\mathrm{SSR}(t_c)$: the smallest sum of squared residuals for this t_c
  - too narrow when residuals are autocorrelated or when nuisance parameters are many
- Filimonov, Demos and Sornette (2017): the modified profile likelihood (Barndorff-Nielsen) corrects for the nuisance parameters; intervals for t_c become wider and asymmetric
- Demos and Sornette (2017) ask whether the birth or the burst of a bubble is easier to diagnose: the start time is far better constrained by the data than t_c

Shanghai 2015: indicator and critical time



- Left: confidence indicator every fifth trading day; right: profile likelihood of t_c for the window from the low of 20 March 2014 to 29 May 2015 (293 days), as in the real-time analysis of Sornette et al. (2015)

ATS_ch16_lppls_inference

Interpreting the Shanghai fit

- The fit ending on 29 May 2015 passes the whole filter: $m = 0.41$, $\omega = 6.28$, 5.7 oscillations, damping 1.16; $\hat{t}_c =$ 24 June 2015
- Profile-likelihood interval: 12 June 2015 to 2 July 2015 (20 days); the peak of 12 June 2015 lies at its left edge: a good call that is fragile to the window
- The indicator is low: at most 0.17 (on 20 April 2015); few windows qualify at once, so the indicator flags a regime, not a date
- One success is an anecdote: the next section counts alarms over decades, with base rates

Spectral views of log-periodicity and the critique

- The oscillation $\cos(\omega \ln(t_c - t))$ is periodic in $\ln(t_c - t)$
  - test: the Lomb periodogram of the detrended residual against $\ln(t_c - t)$ Lomb (1976)
  - nonparametric alternative: the (H, q)-derivative analysis Zhou and Sornette (2003)
  - in calendar time its instantaneous frequency is $\omega/[2\pi(t_c - t)]$: oscillations speed up towards t_c; the Hilbert transform of the residual gives this phase directly (Chapter 11 for the tools)
- Critique
  - log-periodic peaks appear in noise after fitting and detrending Feigenbaum (2001)
  - out-of-sample crash calls perform poorly Brée and Joseph (2013); estimation is fragile Geraskin and Fantazzini (2013)
  - replies on the stochastic formulation, filters and multi-window indicators: Sornette et al. (2013)
- A fair comparison with PSY uses the same events, dates and error measures: next section

Recap: LPPLS

- LPPLS models super-exponential growth with log-periodic oscillations towards a critical time; the confidence indicator aggregates qualified fits over windows
- The critical time needs an interval: profile or modified profile likelihood; the birth of a bubble is easier to pin down than its burst
- Spectral tests of log-periodicity are easy to fool; judge LPPLS by its alarms, not by its fits

Five bubble episodes: data and dating procedure

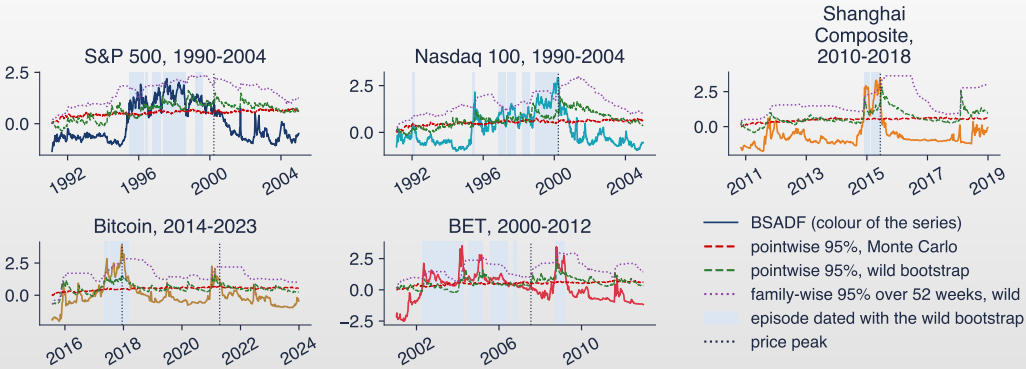


Shanghai Stock Exchange, Pudong, 2008

Photo: Baycrest (2008); CC BY-SA 2.5; Wikimedia Commons

- Weekly log prices (Friday close): S&P 500 and Nasdaq 100 1990–2004, Shanghai Composite 2010–2018, Bitcoin September 2014 – 2023, BET 2000–2012
- No lags; $r_0 = 0.01 + 1.8/\sqrt{T}$; minimum duration $\lceil \ln T \rceil$ weeks; Monte Carlo (1000 paths) and wild-bootstrap (499 draws) critical values
- Episodes dated with pointwise wild values and with the family-wise wild threshold over 52 weeks; the alarm date is the confirmation date
- Case studies: Phillips, Wu and Yu (2011) (Nasdaq), Phillips, Shi and Yu (2015a) (S&P 500), Sornette et al. (2015) (Shanghai), Gerlach, Demos and Sornette (2019) (Bitcoin); for the BET 2007 see also the further reading Pele and Mazurencu-Marinescu (2012)

BSADF of the five episodes



- Shaded: episodes dated with the pointwise wild bootstrap; dotted vertical lines: price peaks

ATS_ch16_episodes

Interpreting the five tests

Series	T	GSADF	cv MC	cv wild	episodes: MC / wild / FW	weeks: MC / wild
S&P 500	782	2.19	2.28	2.91	5 / 6 / 0	228 / 167
Nasdaq 100	782	2.92	2.28	3.22	6 / 6 / 1	210 / 159
Shanghai	460	3.46	2.15	3.90	1 / 2 / 1	31 / 27
Bitcoin	484	3.85	2.18	3.15	2 / 2 / 1	75 / 43
BET	663	3.53	2.29	3.21	3 / 7 / 1	213 / 217

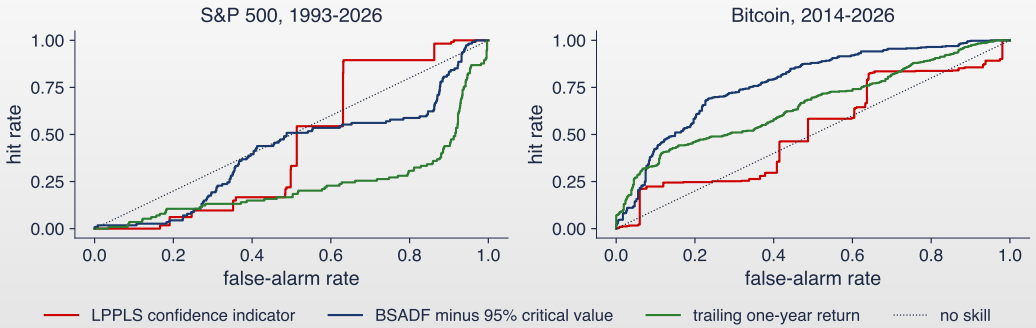
- S&P 500: GSADF below both critical values, yet pointwise dating marks 6 episodes: the multiplicity trap on real data; no family-wise episode
- The wild critical values exceed the Monte Carlo ones for every series (volatility clusters): Bitcoin and BET still reject; the Nasdaq (2.92 against 3.22) and Shanghai (3.46 against 3.90) do not
- MC: Monte Carlo; FW: family-wise wild threshold over 52 weeks; cv: 95% critical value of GSADF

Alarms before the peaks

Peak	first alarm (2 years before)	lead (weeks)	active at peak	FW lead	fall in 1 year
S&P 500, 24 March 2000	16 April 1999	49	no	–	25%
Nasdaq 100, 24 March 2000	24 April 1998	100	yes	13	65%
Shanghai, 12 June 2015	9 January 2015	22	yes	22	47%
Bitcoin, 15 December 2017	23 June 2017	25	yes	–	82%
Bitcoin, 16 April 2021	none	–	no	–	49%
BET, 20 July 2007	2 September 2005	98	no	–	46%

- Every major peak is preceded by a pointwise alarm except Bitcoin 2021; leads of half a year to two years: too early to time a crash, informative about the regime
- BET 2007: the alarm of 2 September 2005 is followed by almost two years of gains before the peak and a fall of 46%; family-wise control removes most alarms
- Counting only peaks hides the false alarms: alarms that were not followed by a crash appear only when every date is evaluated

Early-warning value over decades



- Event: a fall of 20% within 182 days; evaluation every fifth trading day (S&P 500 1 672 dates, Bitcoin 893); scores: LPPLS confidence indicator, BSADF minus its pointwise 95% critical value (weekly, real time), trailing one-year return

ATS_ch16_early_warning

Interpreting the early-warning evaluation

- Base rates: 6.8% of S&P 500 dates and 47.6% of Bitcoin dates are followed by a 20% fall: the same alarm means very different things in the two markets
- S&P 500, AUC with 90% block-bootstrap intervals: indicator 0.39 [0.32, 0.48], BSADF 0.41 [0.28, 0.58], momentum 0.23 [0.10, 0.40]: all below 0.5
- Most S&P 500 dates followed by a 20% fall lie inside bear markets (2000–2002, 2008), when exuberance scores are low, and few at the top of a run-up
  - so the scores are **lower** before the events; BSADF alarms have precision 1% against a base rate of 6.8%
- Bitcoin: BSADF has skill, AUC 0.77 [0.69, 0.85], above momentum 0.66; its alarms reach precision 79% against a base rate of 47.6% (hit rate 32%, false alarms 8%)
- The LPPLS indicator is positive on 35.9% of S&P 500 dates and 4.6% of Bitcoin dates; its AUC is 0.39 and 0.49: under this protocol it does not separate pre-crash dates from the rest

Recap: the applications

- Wild-bootstrap critical values are higher than Monte Carlo ones on real data; some textbook rejections do not survive
- Major peaks are usually preceded by alarms, but with long and variable leads; family-wise control removes most of them
- Over decades, precision must be read against the base rate
  - exuberance scores help for Bitcoin, where crashes follow run-ups
  - they fail for the S&P 500, where most pre-crash dates lie inside bear markets

An open question

- The question
  - do explosive-root and LPPLS alarms carry information about large falls beyond momentum and volatility?
  - once base rates, overlapping horizons and the search over assets are accounted for
- A testable form
  - formal: in a logit or probit of the event on lagged momentum, volatility and the alarm score, H_0: the alarm coefficient is zero, with block-bootstrap inference and a pre-registered panel of assets
  - falsified by a significant out-of-sample gain in a proper score (log score, Brier) over the momentum-volatility model, pooled across assets
- Why it matters
  - regulators and investors read bubble indicators as warnings
  - most evidence comes from a few famous episodes chosen after the fact
  - literature to start from: Phillips and Shi (2020), Astill et al. (2018), Demos and Sornette (2017), Brée and Joseph (2013), Homm and Breitung (2012)

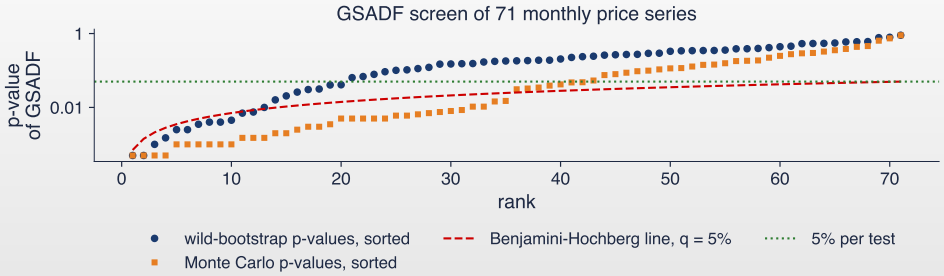
The discovery loop with an AI assistant

- An AI assistant (an LLM such as Claude, ChatGPT, Gemini or Copilot) speeds up each step; Semantic Scholar and Elicit help with the literature
  - **literature**: `List peer-reviewed papers since 2015 that evaluate bubble detectors out of sample with false-alarm rates; give DOIs.` Then check every DOI and the reported numbers
  - **hypothesis**: `Write a pre-registration: assets, sample, event definition, scores, baseline model, proper score, test and block length.`
  - **code and replication**: ask for a vectorised BSADF; reproduce a known number first (the GSADF of the Nasdaq 100 here, or PSY critical values)
  - **critique**: `Act as a hostile referee: list every way this evaluation could overstate the value of the alarms.`
- Report: what was asked, what was kept, what was rejected (AI_USE.md, AI_ERRORS.md)

What the human checks

- Every reference exists and says what is claimed (DOI resolves, the title matches, the result is in the paper)
- Right tail, not left: an AI-written ADF often uses left-tail critical values or the 1.645 normal quantile
- Critical values simulated for the same T, r_0, lags and deterministic terms; wild bootstrap when volatility changes
- No look-ahead: the minimum window, the lag order and the scaling are fixed from data available at each date
- Multiplicity over dates and over assets: which error rate does a reported bubble control?

Mini-case: how many bubbles does a screen find?



- GSADF on the monthly log price of 71 series of the course data (from 1990 or the first month), p-values from 1999 wild-bootstrap and 1999 Monte Carlo draws (smallest attainable p-value: 0.0005)
- Rejections at 5%: 42 with Monte Carlo, 20 with the wild bootstrap (3.6 expected by chance); after Holm 2, after Benjamini–Hochberg 12. An AI summary such as "bubbles in 42 assets" is wrong twice: wrong null and no correction

ATS_ch16_ai_screen

Project idea

- **A pre-registered evaluation of bubble alarms on Central and Eastern European markets**
  - replicate: the date-stamping of Phillips, Shi and Yu (2015a) and the wild bootstrap with family-wise control of Phillips and Shi (2020) on BET, WIG20, BUX, PX and on housing price-to-rent ratios (Eurostat)
  - extend: compare BSADF, monitoring with a boundary and the LPPLS indicator as predictors of 20% falls, against momentum and volatility, with proper scores and block bootstrap
  - pre-register: assets, event definition, scores, horizons, tests and the decision rule, before running anything after 1 November 2026
- Deliverables follow the course rules: repository, report, AI_USE.md, AI_ERRORS.md, oral defence

Key takeaways

- A rational bubble is an explosive autoregressive component; it cannot be negative or start later, and periodic collapses hide it from whole-sample tests
- Explosive roots are learned at an exponential rate with Cauchy limits; mildly explosive asymptotics are invariant and justify the window tests
- Critical values must match the design; the wild bootstrap handles changing volatility; date-stamping needs family-wise control
- Dated starts are late, alarms are early relative to peaks, and precision depends on the base rate
- Test fundamentals as well as prices; judge LPPLS and PSY by the same alarms, events and scores

Key formulas

Object	Formula
Bubble	$P_t = F_t + B_t$, $\mathbb{E}_t B_{t+\mathbf{1}} = (1+r)B_t$
Fundamental, random-walk dividends	$F_t = D_t/r + \mu(1+r)/r^{\mathbf{2}}$
Explosive OLS limit	$\rho^n(\hat{\rho}-\rho)/(\rho^{\mathbf{2}}-1) \Rightarrow \mathcal{C}$
Recursive statistics	$\mathrm{BSADF}_{r_{\mathbf{2}}} = \sup_{r_{\mathbf{1}}} \mathrm{ADF}_{r_{\mathbf{1}}}^{r_{\mathbf{2}}}$, $\mathrm{GSADF} = \sup_{r_{\mathbf{2}}} \mathrm{BSADF}_{r_{\mathbf{2}}}$
Minimum window	$r_{\mathbf{0}} = 0.01 + 1.8/\sqrt{T}$
Monitoring boundary	$b_t = \sqrt{\frac{t-n}{n}\frac{t}{n}[a^{\mathbf{2}} + \ln\frac{t}{t-n}]}$, $1-\Phi(a)+a\varphi(a)=\alpha$
Precision of an alarm	$H\pi_{\mathbf{0}}/[H\pi_{\mathbf{0}} + F(1-\pi_{\mathbf{0}})]$
LPPLS	$\ln p = A + Bf + C_{\mathbf{1}} f\cos(\omega\ln(t_c-t)) + C_{\mathbf{2}} f\sin(\omega\ln(t_c-t))$, $f=(t_c-t)^m$

Self-assessment (1/2)

- Derive F_t when dividends follow $D_t = \mu + D_{t-1} + \varepsilon_t$; what is F_t for $r = 0.04$, $\mu = 0.1$, $D_t = 3$?
- Why can a rational bubble not start after the first trading day?
- Why does the whole-sample ADF fail against an Evans bubble?
- Why is the limit of $\hat{\rho}$ for a fixed explosive root Cauchy only with Gaussian errors?
- A sample has $T = 400$ weeks. What are r_0 and the minimum window?
- Why is the GSADF critical value larger than the SADF one?

Self-assessment (2/2)

- What does the wild bootstrap keep from the data, and what does it remove?
- An alarm has $H = 0.7$ and $F = 0.1$; the base rate is 4%. What is its precision?
- Why must the alarm date be the confirmation date and not the dated start?
- The price-to-rent ratio is explosive and real rents are explosive too. What do you conclude?
- Why is a profile-likelihood interval for t_c too narrow with autocorrelated residuals?
- A screen of 80 assets finds 20 GSADF rejections at 5%. Which two checks come first?

Self-assessment: answers (1/2)

- $F_t = D_t/r + \mu(1+r)/r^2 = 75 + 65 = 140$
- If $B_t = 0$, then $\mathbb{E}_t B_{t+1} = 0$ and $B_{t+1} \geq 0$ (no negative bubbles), so $B_{t+1} = 0$ almost surely; by induction the bubble stays at zero
- Collapses pair the largest falls with the highest levels and pull the OLS slope down; over the whole sample the series looks I(1) or stationary
- $\rho^n(\hat{\rho} - \rho)/(\rho^2 - 1) \approx X_n/Y_n$ with X_n, Y_n dominated by a few shocks: they are normal only if the shocks are normal; no CLT acts inside them
- $r_0 = 0.01 + 1.8/20 = 0.1$; minimum window $\lfloor 0.1 \cdot 400 \rfloor = 40$ weeks
- GSADF takes a supremum over more windows (all starts and ends), so under the null its maximum is larger

Self-assessment: answers (2/2)

- It keeps the volatility pattern $|\hat{e}_t|$ (and the short-run dynamics of the null model); random signs remove any explosive or predictable component
- $0.7 \cdot 0.04/(0.7 \cdot 0.04 + 0.1 \cdot 0.96) = 0.028/0.124 \approx 0.23$
- The start is known only after the minimum number of exceedances; using it as the alarm date would use future information
- No evidence of a bubble from these tests: the fundamental explains the acceleration; one would test whether the ratio explodes beyond what rents imply
- Autocorrelated residuals carry less information than n independent errors, and nuisance parameters are ignored: the likelihood is too sharp
- Whether the critical values allow for changing volatility (wild bootstrap); whether the number of rejections survives a multiple-testing correction (4 are expected by chance)

Further reading and links



The Bucharest Stock Exchange Palace, March 1928

Photo: Nicolae Ionescu (1928); public domain; Wikimedia Commons

- Surveys
  - Gürkaynak (2008); Shiller (2015); Kindleberger and Aliber (2005)
  - bubbles and later returns: Greenwood, Shleifer and You (2019)
- Implementation: the R package `exuber` Vasilopoulos, Pavlidis and Martínez-García (2022)
  - our Quantlets reproduce its statistics in Python
- Applications to markets, risk and policy: MFM, Chapter 17
- Further reading on the Bucharest Stock Exchange: Pele and Mazurencu-Marinescu (2012)
- The course ends here; the project defence is described in Chapter 15

Appendix: the mildly explosive Cauchy limit

- $\rho_n = 1 + c/k_n$; $X_n = k_n^{-1/2} \sum_{j=1}^{n} \rho_n^{-(n-j)-1} u_j$, $Y_n = k_n^{-1/2} \sum_{j=1}^{n} \rho_n^{-j} u_j$; weights $\rho_n^{-j} \approx e^{-cj/k_n}$ decay over $O(k_n)$ terms
- Lindeberg: no single weight dominates, so $(X_n, Y_n) \Rightarrow (X, Y)$, independent $N(0, \sigma^2/2c)$ ($\sum_j \rho_n^{-2j} \approx k_n/2c$); independence because X_n and Y_n load on the two ends of the sample and $k_n = o(n)$
- $(k_n \rho_n^n)^{-2} \sum_t y_{t-1}^2 \Rightarrow Y^2/2c$ and $(k_n \rho_n^n)^{-1} \sum_t y_{t-1} u_t \Rightarrow XY$, so $\frac{k_n \rho_n^n}{2c}(\hat{\rho} - \rho_n) \Rightarrow X/Y \sim \mathcal{C}$ Phillips and Magdalinos (2007)
- A ratio of two independent centred normals with equal variances is standard Cauchy: $X/Y = \tan\Theta$ with Θ uniform on $(-\pi/2, \pi/2)$

Back

Appendix: the monitoring boundary

- Under the null, $S_t \approx n^{-1/2}\sigma^{-1}[\sum_{j\le t}\varepsilon_j - (t/n)\sum_{j\le n}\varepsilon_j]$; with $s=(t-n)/n$: $S \Rightarrow Z(s) = W(1+s) - (1+s)W(1)$, $\mathrm{Var}Z(s) = s(1+s)$
- Time inversion: $Z(s) = s\,B(1+1/s)$ for a standard Brownian motion B; with $u = 1/s$ the event $Z(s) > \sqrt{s(1+s)[a^2 + \ln((1+s)/s)]}$ becomes $B(1+u) > \sqrt{(1+u)[a^2+\ln(1+u)]}$
- Robbins–Siegmund: $\Pr\{B(1+u) > \sqrt{(1+u)[a^2+\ln(1+u)]} \text{ for some } u \ge 0\} = 1 - \Phi(a) + a\varphi(a)$; the two-sided version doubles it, the form used by Chu, Stinchcombe and White (1996)
- In t: $s(1+s) = \frac{t-n}{n}\cdot\frac{t}{n}$ and $(1+s)/s = t/(t-n)$, which gives b_t; a finite horizon makes the test conservative

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